

CLAIM, COUNTER-CLAIM

BMIP, backed by a sovereign guarantee of \$1.4 billion, is aimed at protecting the domestic shipping industry from global volatility. It offers hull and cargo insurance, Protection and Indemnity (P&I) and covers war risk. P&I insurance covers third-party liabilities such as oil pollution, wreckage removal and damage done to ports.

“The indigenous pool has already resulted in reduction of premiums for hull war and cargo war risk covers in the country by 27% and 48%, respectively,” Debashish Prusty, additional secretary in the Department of Financial Services, claimed at a workshop in Mumbai organised by state-owned Shipping Corporation of India Ltd.

Indian National Shipowners’ Association (INSA) CEO Anil Devli quickly countered the claim. “One of our members sought a quote for BMIP cover. We were told that it is 27% lower than the market. I want to tell you that the quote we have got is 70% more than what we got in London,” Devli said.

The association doesn’t want it to be made mandatory for Indian vessels to obtain P&I cover from a domestic entity.

“It will be disastrous for Indian shipowners. The BMIP will probably be available for inland water transport or coastal, whereas the larger ships will then be left without a P&I cover and people will stop taking out ships,” said Devli.

Marine law experts say BMIP should be complementary to the international group of 12 P&I clubs providing marine liability cover to 87% of the world’s ocean-going tonnage.

FAILED PRECEDENTS

Past attempts to put indigenous marine insurance in place have

been non-starters.

They “foundered for reasons that were, in retrospect, structurally predictable: inadequate capitalisation, insufficient technical expertise and an institutional framework that proved unable to resist the pressures that inevitably bear down on state-backed financial entities,” says Gautam Bhatikar of law firm Phoenix Legal.

He says BMIP meaningfully addresses the capitalisation challenge through the sovereign guarantee. Deeper vulnerabilities remain—chief among them being underwriting discipline.

BMIP is seen as a strategically significant development for India’s maritime sector because India relies overwhelmingly on maritime trade for its energy security, commodity imports and international commerce. The creation of domestic maritime risk capacity is timely and necessary.

SOVEREIGN INITIATIVE

Harsh B. Buch, founding partner at law firm Orion Counsel, says BMIP should not be viewed merely as an insurance initiative but as a maritime sovereignty initiative.

“Recent geopolitical events—from sanctions regimes and disruptions in the Red Sea to fragmentation of global trade—have demonstrated that access to maritime insurance can become a strategic vulnerability. In that context, BMIP represents a conscious effort by India to reduce excessive dependence on external insurance markets during periods of geopolitical uncertainty,” says Buch.

For decades, Indian shipping has operated with a fundamental vulnerability—over-reliance on foreign insurers, particularly the International Group of P&I Clubs, for coverage that is essential to

AN OVERVIEW

The department of Financial Services launched BMIP, or Bharat Maritime Insurance Pool, worth \$1.5 million



The ₹12,980-crore pool is supported by sovereign guarantee



90% global ocean trade insured by European P&I Clubs



\$3.8 billion of annual premiums paid to these P&I Clubs



\$15 million (0.35%) is total premium paid by Indian tonnage

POOL CORPUS

₹400

CRORE
GIC Re

₹200

CRORE
Public-sector insurers

₹300

CRORE
Private insurers

the continuity of trade. BMIP addresses that gap.

“The pool size of \$1.5 billion, backed by a sovereign guarantee of \$1.4 billion, lends it the institutional credibility it requires at this stage of its development. The prompt issuance of the first policy upon launch further signals that